

Global PE / Growth Funds	Blackstone, KKR, EQT/BPEA, Warburg Pincus, Advent International, ChrysCapital, Premji Invest, TVS Capital	Platform build, control/co-control, USD 50 Mn+ tickets. Seek EBITDA visibility, management teams, PLI-eligible structures. <i>Active across OSAT, EMS, chip design platforms</i>
Strategic / Corporate Investors	Qualcomm Ventures, Intel Capital, Renesas, Applied Materials, NXP, Infineon, Samsung, Foxconn	Technology access, IP acquisition, India market entry. Willing to pay strategic premium (1.5-2x financial buyer). <i>Chip design acquisitions, JV formation, fab partnerships</i>
Government / DFI Capital	SIDBI Fund of Funds 2.0, NIIF, ISM capital, State government co-investment, IFC, ADB	Patient capital for fab & OSAT. Often first-loss provider enabling private co-investment. PLI/DLI as incentive layer. <i>Enables otherwise un-bankable greenfield projects</i>
Venture & Growth Stage	Elevation Capital, Peak XV Partners, Stellaris, Blume, Info Edge Ventures, Speciale Invest, Endiya Partners	Chip design startups, EDA tool companies, embedded software. Series A/B at USD 5 Mn to USD 40 Mn. DLI as validation signal. <i>14 DLI projects approved; 10 startups VC-backed (₹6.5 Bn total)</i>

Who is investing in India?

most active investors, with companies targeting India's chip design firms and proprietary IP rather than manufacturing assets. Indian firms, meanwhile, are acquiring US businesses to access advanced technologies, global customers, and established markets, particularly in AI chips, Edge AI, fabless design, and OSAT.

Japan and partnership-first approach. Japanese companies typically prefer partnerships and joint ventures before making equity investments. For Indian firms, Japan remains a key source of expertise in power and compound semiconductors, sensors, and precision manufacturing.

Europe and engineering and automotive strengths. Europe views India as a leading semiconductor design hub, with the country contributing nearly 20 per cent of the world's semiconductor research and design talent. In turn, Indian companies look to Europe for proprietary IP, technology licensing, and expertise in automotive and industrial semiconductors.

Taiwan and manufacturing expertise. Taiwan's engagement centres on technology transfer and joint ventures, exemplified by the Tata Electronics-PSMC partnership.

While India is advancing towards 28nm fabrication, global leaders remain several process generations ahead. Taiwan also continues to be a key partner in wafer fabrication, advanced packaging, semiconductor substrates, and OSAT.

What makes a company investable?

Although investor interest in India's semiconductor sector is growing, Gaurav stresses that capital is becoming increasingly selective. "The strongest differentiator remains proprietary technology."

Businesses with genuine IP, specialised design expertise, and process know-how are more likely to attract investment and command premium valuations than those relying primarily on engineering services. However, technology alone is not enough.

Investors also assess the quality of a company's revenue, favouring recurring income from a diversified customer base over large but concentrated or project-based revenue.

Management capability is another key consideration.

"A strong second line of management significantly improves investor confidence," Gaurav explains.

Companies with transparent

financial reporting, strong governance, prudent leverage, and healthy EBITDA margins are generally viewed more favourably. Eligibility for government initiatives such as the PLI scheme or the ISM can further strengthen a company's investment proposition. Investors also tend to favour businesses with international customers or global go-to-market strategies, seeing them as better positioned for sustained growth.

However, Gaurav cautions that founders should not assume all investors have the same objectives.

Corporate venture capital (CVC) firms, such as Qualcomm Ventures and Intel Capital, invest primarily for strategic reasons and may pay a premium if a company's technology complements the parent company's product roadmap.

Traditional venture capital firms focus on financial returns and high-growth opportunities, while fabrication plants and outsourced semiconductor assembly and test (OSAT) facilities typically require patient capital from development finance institutions, government-backed funds, and other long-term investors.

At a later stage, global private equity firms such as Warburg Pincus, KKR, and Blackstone generally invest much larger amounts, often